

AutoNation, Inc. ("AN") is the largest automotive retailer in the U.S., owning and operating 269 new vehicle franchises from 228 stores located predominantly in the "Sunbelt" region, from Southern California to Florida. It often clusters dealerships within markets, allowing them to share inventory, cross-sell to customers, and reduce marketing costs.

Going forward, the long-term growth component to this investment is tied to the fragmented nature of the U.S. auto dealer industry. Despite being the country's largest auto dealer by market share, AutoNation has only a roughly 1.5% market share. Furthermore, most dealerships in the U.S. are privately held, with many of their owners nearing retirement age. Therefore, the opportunities for consolidation are substantial. These dynamics were no doubt a significant part of the reason Berkshire Hathaway recently acquired the largest privately-owned auto dealer in the U.S., renaming it "Berkshire Hathaway Automotive". AutoNation now trades at valuation multiples that, for the most part, are slightly lower than those of the broad equity market. At this price level, and given the tremendous opportunities for growth in the coming years, we believe the risk/reward dynamics of AutoNation are quite favorable.

- **Valuation:** As of November 24, 2014, AN traded at a price to earnings ratio, or P/E, of 17x, as compared to a P/E of 19x for the S&P 500 Index.
- **Index ownership:** Weight in S&P 500 Index: 0.02%
- **Return on equity:** 18.6% for FY 2013, representing a compound annual growth rate of 18.6% over the 2010-2013 period.
- **Net income growth:** 18% compound annual growth in net income over the 2010-2013 period. However, EPS increased 25% (compound annual growth rate) over the same period, reflecting the impact of aggressive share repurchases by the company.
- **Balance Sheet:** Debt to Equity ratio of 0.95x as of September 2014.
- **Share repurchases:** AN has repurchased shares aggressively since 2000, reducing the number of shares outstanding by 66% over the 14 year period.
- **Number of analyst estimates:** 15
- **Selected Predictive Attributes:**
 - Owner-operator management: Mr. Lampert owns approximately 30% of shares outstanding.
 - Industry History: Mr. Lampert has a long-term record of shrewd decision-making and investment success.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

We believe that DreamWorks Animation SKG Inc. (“DWA”), a producer of animated feature films, is a significantly misunderstood company. Though it has created successes, such as the *Shrek*, *Madagascar*, and *Kung Fu Panda* franchises, Wall Street appears to trade the shares based on the box office success or failure of the latest release—opening weekend results of each film have an outsized impact on the company’s stock price, ignoring the financial contributions of the 30 or more films that it has created and released since 1998.

Because of the peculiarities of movie accounting, films tend to be fully expensed by the time of, or shortly after, their initial release. Accordingly, new films sometimes appear unprofitable, since they are subject to significant upfront costs, and huge amortization expenses once the films begin to generate revenues. A follow-on effect, though, is that any future revenue associated with movies from the library (films that are at least 4 years past release) has very little associated cost and is largely converted to pre-tax earnings. In 2013, these revenues were \$173 million. Assuming that such revenues were comprised of all pre-tax earnings, and that the company would have paid a 26% tax rate (in line with its 2013 overall tax rate) on those earnings, its library would have generated \$129 million in net profits. At a multiple of just 10x earnings, the library would thus be worth \$1.3 billion, which should be compared to the \$1.95 billion valuation for the entire company.

Therefore, the resultant “stub” value of the new film business is only \$650 million, which can be compared to a current book value for the equity of approximately \$1.5 billion. The largest component of equity book value is inventory (\$1.015 billion), which is the carrying value of animated content net of amortization, where applicable, for “in release” films and television specials. Hence, inventory is the cost of all of the content that is yet to be amortized. In a sum-of-the-parts analysis, the company can be viewed as a film library business trading at 10x earnings and a new content business trading at less than 50% of book value.

This valuation is compelling, but also fails to consider the qualitative aspects of the business model that certainly have the potential to add value. These include recent efforts in foreign film studio joint ventures, theme parks, consumer products and various additional digital businesses. By purchasing the “non-library” businesses at less than 50% of book value, we believe an investor receives significant potential upside in these recent initiatives at little to no cost.

- **Valuation:** As noted above, applying a conservative multiple to the revenues generated from the library results in a \$1.3 billion valuation for that portion of the business, compared to a \$1.95 billion market cap for the entire company. Furthermore, given its low valuation and the growing demand for content to fill an expanding number of distribution channels, we believe that DWA is an attractive acquisition candidate.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.10%
- **Balance Sheet:** Debt to Equity ratio was 0.21x as of 12/31/2014.
- **Number of analyst estimates:** 14
- **Selected Predictive Attributes:**
 - Owner-operator: Jeffrey Katzenberg controls 60.1% of DWA voting power
 - Scalability: Revenues generated from the library have negligible associated costs
 - Industry History: The founders (Steven Spielberg, Jeffrey Katzenberg, and David Geffen) have all had significant success in the entertainment industry.
 - Long Product Lifecycle: The movies created by DWA will likely be viewed by generations to come, and their characters can be licensed for follow-on television shows, characters at theme parks, and toys.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

The Howard Hughes Corporation (“HHC”) is a developer and manager of commercial, residential, and mixed use real estate assets. The company was spun off from General Growth Properties, Inc. (ticker: GGP) in 2010 as part of GGP’s reorganization. At that time, Howard Hughes was trading at a significant discount (as much as ~50%) to book value, and the book value itself represented assets recorded at valuations far below fair value. For example, the South Street Seaport property in lower Manhattan was carried at approximately \$3 million on the balance sheet at that time—about the price of a decent sized apartment in that area. In fact, the current book value multiple of approximately 2.6x represents a considerable discount to fair value, even when using GGP current multiple of 3.5x. GGP is a good, albeit, not ideal comparable, as the company’s real estate portfolio was restated at “fair” book value during the reorganization. Our original investment was based on the thesis that the land and property portfolio was worth significantly more than the market capitalization of the company, and that the very purpose of the spin-off was to properly develop these properties, a number of them having unusually significant redevelopment value. Early support for this thesis was provided when the management team that was hired to run this company was required (and, obviously, agreed) to invest \$19 million of their own capital in warrants that were locked up for seven years and priced, effectively, significantly out of the money—in essence, a *negative* sign-on bonus, perhaps unique in the annals of senior executive hiring. Clearly, these insiders, with decades of industry experience and with access to all of the company’s information, believed deeply in the long-term value of these assets. This management team has made consistent progress in developing various company assets that have compounded book value and which are expected to generate an additional \$16 million in Net Operating Income when stabilized.

- **Valuation:** As of November 14, 2014, HHC shares were trading at a price to book ratio of 2.6x. While much higher than when the investment was initiated in 2010, we do not believe this decline reflects the earnings potential from assets still in development.
- **Revenue Growth:** In 2013, revenues totaled \$475 million, up 26% from 2012.
- **Index ownership:** Not held in S&P 500, S&P 400, or Russell 2000 Index
- **Balance Sheet:** Debt to equity ratio = 0.87
- **Number of analyst estimates:** 4
- **Selected Predictive Attributes:**
 - Owner-operator management: Chairman of the Board Bill Ackman (of Pershing Square L.P.) beneficially owns 13.2% of shares outstanding. As noted above, management has a significant vested interest in warrants which are not yet exercisable.
 - Dormant Assets: The company has many major assets in development or recently completed, including South Street Seaport, The Woodlands Texas, Ward Village (Hawaii), and Summerlin (Las Vegas). While some of these assets are beginning to produce cash flow, at the moment, there is little visibility into their true earnings potential.
 - Spin-Offs: HHC was spun off from GGP in 2010.
 - Long Product Lifecycle: HHC owns assets that are difficult to replace, such as the South Street Seaport and coastal property in Honolulu, Hawaii.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Jarden Corp. (“JAH”) owns a collection of consumer product companies that manufacture a diverse set of items, ranging from fishing equipment to scented candles. With very few exceptions, they each occupy the largest market share in their respective product categories. The company’s strategy is to acquire mature, stable consumer brands that do not require substantial amounts of reinvestment. These acquisitions are generally financed in large part with debt, which is gradually repaid through the consistent cash flow produced by the acquired businesses. In essence, Jarden engages in a form of a cost-of-capital arbitrage—it finances acquisitions with debt bearing a lower interest rate than the return on capital generated from the acquired businesses. Examples of the company’s brands, a large proportion of which have been in continuous operation for longer than 50, and even 100, years (intrinsicly long product lifecycles and low competitive risk), include Coleman, Yankee Candle, Marmot, Rawlings, Mr. Coffee, Crock-Pot, Sunbeam, Java-Log, First Alert, and both Bee and Bicycle playing cards.

This strategy, which is not dissimilar from the leveraged approach of private equity, has been remarkably successful. In 2002, Martin Franklin and his partner, Ian Ashken, gained control of Jarden, in order to apply this acquisition oriented policy to the consumer products industry. Since that time, Jarden shares, after adjusting for stock splits, and including dividends, have appreciated by roughly 30% per annum.

- **Valuation:** Jarden has had significant success thus far via its growth by acquisition strategy, and has generated substantial shareholder value. We believe the company has the potential to further expand revenues and margins going forward.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.49%
- **Book value per share growth:** Since 2001, book value per share has increased from \$0.75 to \$19.16, a 31% annualized rate.
- **Balance Sheet:** Debt to equity ratio was 1.88x as of 12/31/2013
- **Number of analyst estimates:** 17
- **Selected Predictive Attributes:**
 - Owner-operator: Ian Ashken and Martin Franklin together control approximately 5.3% of the shares.
 - Long Product Lifecycle: Most of JAH’s brands have the largest market share in their category, and many have been in operation for decades.

Platform Specialty Products Corporation (“PAH”) provides technology specialty chemical products and technical services. It was originally a special purpose acquisition vehicle trading in London, under the name Platform Acquisition Holding Ltd. Platform Acquisition was formed by Martin Franklin, the current Chairman of Jarden Corp., and seeded, in part, by Bill Ackman of Pershing Square, as well as by Mr. Franklin. Mr. Franklin believes there is an opportunity to consolidate the highly-fragmented global specialty chemicals industry. These are high margin, low capital expenditure businesses, either protected by patents or which are complex enough in their multi-step industrial applications that technical sales personnel often work quasi-permanently at their customers’ production plants. Funded with roughly \$1 billion, Mr. Franklin completed PAH’s first acquisition in October 2013 through the purchase of MacDermid, which is a family-owned chemical product company primarily serving industrial companies. Since that time, Platform Specialty Products has acquired three additional chemical products companies: Chemtura ArgoSolutions, Agriphar, and Arysta Life Science. These acquisitions, which totaled approximately \$4 billion, have broadened the company’s portfolio to include agricultural chemicals. As Platform acquires more companies, they will be able to generate additional returns on invested capital by realizing cost synergies. Following Mr. Franklin’s track record at Jarden Corp., where he rolled up numerous consumer product companies, we believe Platform Specialty Products represents an opportunity to achieve exceptional returns alongside a talented owner-operator.

- **Valuation:** Though the company does not trade at a particularly low P/E or EBITDA¹ multiple, it earns very high margins relative to peers, and the scale of acquisition activity during the early years of this strategy can produce step-wise increases in revenues and earnings that defy estimates of normalized earnings.
- **Insider ownership:** Chairman Martin Franklin has a 4.7% equity interest in the company.
- **Index ownership:** Not held in the S&P 500, S&P 400, or Russell 2000 Index
- **Balance Sheet:** Debt to Equity Ratio: 0.47
- **Number of analyst estimates:** 2
- **Selected Predictive attributes:**
 - Owner-operator management: Chairman Martin Franklin has a 4.7% equity interest.
 - Long Product Lifecycle: Customer retention is very high because the cost savings from switching to another provider are modest, while the switching costs are high due to process complexities and quality control requirements.
 - Scalability: Operates high-margin, low capital expenditure businesses.
 - Industry History: Mr. Franklin has a well-respected record of “rolling up” businesses at Jarden Corp., utilizing leverage and free cash flow.

¹ Earnings before interest, taxes, depreciation, and amortization

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Sears Holdings Corporation (“SHLD”) is a retailer with a diversified portfolio of owned real estate, long-term real estate leases, and iconic consumer brands, including Kenmore, Craftsman, and Die Hard. Our investment has always been based on our assessment that the owned real estate and leases are worth more than the market capitalization of the company—our analysis has never assumed a turnaround of the retail operations. While the retail operations have continued to deteriorate, estimates for the company’s real estate continue to indicate significant value for equity holders. The current market capitalization of Sears is \$3.7 billion; based on the prices for four properties sold during 2013, one may very crudely arrive at a valuation of \$14 billion for just the wholly-owned stores; net of the company’s debt, this implies over \$10 billion of equity value.

Some in the media have opined that Sears might be headed for bankruptcy—we do not believe that is likely, but it is certainly possible. However, it is also quite possible for Sears shareholders to benefit nicely under those conditions. This possibility exists because of the way that the Sears corporate structure has been arranged since Chairman and CEO Edward Lampert combined Sears and K-Mart nearly ten years ago. Sears was restructured as a holding company, having two main subsidiaries: the Guarantor subsidiary, which is liable for substantially all of the company’s debt, and the Non-Guarantor subsidiary, which is considered bankruptcy-remote. The Non-Guarantor subsidiary would emerge from the bankruptcy debt free, and has generated \$1B-\$1.2B per year in free cash flow for the last few years. This subsidiary includes the 125 (presumably) most valuable real estate properties, the rights to the valuable Diehard, Kenmore, and Craftsman brands, and the Sears Reinsurance business.

- **Valuation:** A multiple of 12x–15x free cash flow applied to the Non-Guarantor subsidiary’s cash flows would result in a valuation of \$12B–\$18B for just that subsidiary, a conservative valuation, given the additional appreciation potential based on the value of the properties.
- **Index ownership:** Not held in the S&P 500, S&P 400, or Russell 2000 Index.
- **Return on equity:** -3.58% compound annual growth rate for the 2010-2014 period. Though returns on equity are negative, the retail business is not the driver of our investment decision.
- **Net income growth:** -2.30% compound annual growth rate for the 2010-2014 period.
- **Balance Sheet:** Total Debt to Equity: 1.94x as of February 2014.
- **Number of analyst estimates:** 5
- **Selected Predictive attributes:**
 - Owner-operator management: Chairman Edward Lampert owns 48.5% of SHLD shares.
 - Dormant Assets: The main value driver for the company is its real estate, which the company appears to be gradually monetizing.
 - Spin-Offs: SHLD has spun off several entities, including Lands’ End, Sears Hometown and Outlet Stores, and a partial spin-off of Sears Canada.
 - Long Product Lifecycle: Though SHLD’s retailing business is clearly on the decline, the company’s brands, including DieHard, Craftsman, and Kenmore, are well-known. Furthermore, many of the company’s real estate assets are in valuable locations.
 - Industry History: Mr. Lampert is a well-known long-term investor with a laudable record of success.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Starz ("STRZA") is a premium cable channel provider which offers the Starz and Encore channels, and which develops and distributes its own content. In January 2013, Starz separated from Liberty Media and became a separate publicly-traded company—prior to the spin-off, Starz appeared to be accorded little or no value whatsoever in the valuation of Liberty Media. As of June 30, 2014, Starz and Encore served a combined 55.9 million subscribers, making them the largest pair of premium channels in the US. By comparison, HBO is widely estimated to have around 30 million subscribers (the company does not release official numbers). While subscriber figures are only growing by around 4% per year, Starz' free cash flow expanded by more than 50% between 2009 and 2013.

The company is attempting to launch services internationally, as well as to develop content that could compete with Netflix. It is noteworthy that Netflix, with fewer subscribers, has 8x the market capitalization of Starz. Also, given its modest market capitalization, Starz appears to be an attractive acquisition target for one of the larger media companies—while it currently trades at just 13x next year's consensus earnings forecast, the company might be even more profitable if consolidated with a larger media company. Even in the absence of takeover bids, Starz is likely to continue to expand its subscriber base, both internationally and domestically, if it increases its use of technology to reach a much wider customer base that doesn't necessarily have cable TV connections (via smartphone, tablet, computer, and other modalities).

- **Valuation:** Starz traded at approximately 7.5x trailing EBITDA as of 9/30/2014, which is a considerable discount to implied values for CBS Corp.'s Showtime and Time Warner's HBO.
- **Index ownership:** Not held in S&P 500, S&P 400 or Russell 2000 Index
- **Return on equity:** 36.01% as 12/31/2013
- **Share repurchases:** The company has repurchased \$420 million of its shares since the spin-off, which represents 13% of its current market capitalization.
- **Number of analyst estimates:** 11
- **Selected Predictive attributes:**
 - Owner-operator management: John Malone has a 46 % voting stake in Starz.
 - Spin-Offs: Starz resulted from the separation of the Starz business from Liberty Media Corp.
 - Scalability: Servicing incremental customers results in negligible marginal costs to Starz.
 - Industry History: Owner-operator John Malone has a long history of success in the telecommunications and cable businesses.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

In 2011, the Wendy's Company ("WEN") replaced Burger King as America's second largest hamburger chain. Remarkably, Wendy's was barely profitable at the time, following a long period of insufficient investment in the wake of the death of founder and owner Dave Thomas³, generating net profit margins of 1% to 2%, while Yum! Brands⁴ and McDonald's were consistently at 10% and 20%, respectively. At the time, serially successful owner-operators Nelson Peltz and Peter May, who together now control 24% of the shares, put forth a long-term transformation plan. It centered on three initiatives: 1) upgrading the restaurants from their traditional fast food layout to a more modern, slightly more upscale, "fast casual" layout--an expensive undertaking, with full remodeling costing up to \$750,000 per store; 2) selling a significant percentage of Wendy's company-owned restaurants to franchisees, swapping capital-intensive, low margin property for the asset-light royalty stream of the franchise model (at year-end 2012, 22% of Wendy's restaurants were company-owned, versus 15% today); and 3) given that Wendy's generates less than 1% of its revenue outside North America (McDonald's and Yum! Brands are at over two-thirds), aggressively expanding internationally.

Now nearly three years into this transformation strategy, Wendy's appears to be succeeding on all fronts. Last quarter, its net profit margin increased to 5.5%, and early results show that restaurant upgrades are lifting sales 10% to 35%. Yet, Wendy's is only in the early stages of its transformation process: only 12% of its restaurants have been upgraded (or are expected to be by year-end 2014), versus a target of 85% by the end of 2017. This is important, since it superficially appears to be a fully valued stock on a P/E basis, but its rebranding project is only partially complete, obscuring much of the ultimate earnings enhancement; since the latent earnings power will not be obvious for another two years or so, those earnings are not adequately valued. It is a low P/E stock in high P/E clothing. After it upgrades the majority of its restaurant system in North America, management plans a rapid international expansion through franchisees—an initiative that should not only increase revenue, but which should also continue to enhance profit margins. If management can successfully implement this plan, we believe that Wendy's shares, which have nearly doubled since Horizon Kinetics initiated a position in early 2012, should continue to prove a salutary investment.

- **Valuation:** Though WEN trades at a P/E of approximately 25x, and therefore, at first glance appears to be richly valued, it is still in the midst of its transformation; accordingly, its current earnings are not reflective of potential earnings. The company has the possibility to significantly increase revenues and expand margins as the turnaround plan is implemented.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.14%
- **Balance Sheet:** Debt to equity ratio as of 12/29/2013 was 0.76x.
- **Number of analyst estimates:** 18
- **Selected Predictive Attributes:**
 - Owner-operator: Nelson Peltz and Peter May control 24% of shares outstanding.
 - Industry History: Mssrs. Peltz and May have a long history of successful turnarounds.

³ Mr. Thomas retired from his day to day responsibilities in 1982, but returned to a more active role within the company and as a TV spokesperson in the mid to late 80s.

⁴ Yum! Brands portfolio of companies includes Taco Bell, Kentucky Fried Chicken, and Pizza Hut.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

L Brands (formerly Limited Brands) (“L Brands”) has been an incubator of sorts for various retail store concepts since its founding in 1963 by Leslie Wexner. Mr. Wexner has remained the company’s Chairman and CEO through the years, and he continues to be its largest shareholder, with a 15% stake. Few have matched Mr. Wexner in producing so many successful retailing brands that achieved national critical mass. During the 1990s, the company created or developed Structure, Express, Abercrombie & Fitch, Lerner New York, Lane Bryant, The Limited, and The Limited Too, all of which were clothing and personal accessory retail establishments. All of these businesses were sold or separated at different points in time. Based on its history of asset disposals, L Brands only retains those businesses that are growing, or that have been able to withstand the frequent threat of obsolescence endemic to the retail industry. Recently, the company has been narrowing its strategic focus to two businesses: Victoria’s Secret and Bath & Body Works.

The policies adopted under Mr. Wexner have produced superior results for shareholders, of which he is the largest. L Brands’ cumulative ten-year return (with dividends reinvested) has been 18.6% annualized. Should Mr. Wexner’s owner-operator approach continue under his tenure, shareholders should continue to benefit accordingly.

- **Valuation:** L Brands is no longer inexpensive; the shares now trade at a premium valuation. When purchased in accounts in 2011, the shares traded at roughly 12x the cash earnings the company would generate in 2012, which was low for the quality of the manager, the quality of the focused retail strategy to which he had winnowed the portfolio, and the benefits of the strategic share repurchase program upon which the company had embarked. The shares have appreciated by about 29% annually since then, such that the current P/E ratio on consensus earnings forecasts for next year is 23x.
- **Index ownership:** Weight in S&P 500 Index: 0.10%
- **Return on capital:** 27.2% for FY 2014 (ended 02/01/2014)
- **Number of analyst estimates:** 30
- **Share repurchases:** Over the past 10 years, L Brands has reduced its share count by 43%, which means earnings per share are at least 75% higher than they otherwise would have been, all else equal.
- **Selected Predictive attributes:**
 - Owner-operator management: Mr. Wexner has a 15% stake in the company.
 - Industry History: Mr. Wexner has a long history of serial success, unusual in any industry, but particularly so in the retail industry in which the barriers to entry of extremely low.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Brookfield Asset Management (“Brookfield”) is a Canadian-based global asset manager with approximately \$200 billion in assets under management. It specializes, and has developed extensive expertise, in the sourcing and acquisition of real estate, infrastructure and other physical assets. Examples include office, retail and industrial properties, hydroelectric power plants in Canada and northeastern U.S., electric power grids in Brazil, and toll roads. In addition to investing its own capital, the company manages third party funds in a multitude of investment partnerships and investment funds, for which it receives fee revenue, including carried interest. Its publicly-traded fund vehicles include the following:

- Brookfield Property Partners (BPY; 66% owned) – owns global commercial property, including best-in-class office, retail, multifamily and industrial real estate.
- Brookfield Renewable Energy Partners (BREP; 65% owned) – one of the largest publicly-traded, pure-play renewable energy platforms, consisting primarily of hydroelectric plants.
- Brookfield Infrastructure Partners (BIP; 28% owned) – operates long-life assets, such as utilities, transport and energy assets in North and South America, Australasia, and Europe.

The company generally follows a value-based investment policy. In this regard, it seeks to own and operate assets that generate stable and consistent cash flow, have significant barriers to entry, and require minimal sustaining capital expenditures and characteristics that lead to appreciation in the value of the asset over time. Brookfield focuses on assets that tend to be inflation beneficiaries or which contain intrinsic price escalators, such as are found in real estate leases, in the pricing structure of electricity transmission grids, in timberlands, etc. The operation of modest annual price increases on a stable fixed-asset base, conservatively leveraged, can have very salutary effects on long-term equity values. In mathematical terms, the company’s goal is to achieve returns on equity of 12%-15% under most scenarios, with a lower bound of 6%-8%. In upside cases, the expectation is for returns of 20% or more. As an illustration of its success, in the period beginning January 1, 2008 until September 30, 2014, Brookfield Asset Management increased its book value per share 124% from \$35.23 to \$79.19, or 28.2% compounded per annum.

- **Valuation:** Summing the market value of Brookfield’s many investment stakes in publicly-traded subsidiaries, it appears that the market is significantly discounting the company’s remaining holdings.
- **Index ownership:** Not held in S&P 500, S&P 400, or Russell 2000
- **Book value:** Between January 1, 2008 and September 30, 2014, Brookfield Asset Management increased its book value per share a cumulative 124%.
- **Number of analyst estimates:** 10
- **Selected Predictive attributes:**
 - o Owner-operator: CEO Bruce Flatt owns 2.8% of shares outstanding.
 - o Bits & Pieces: As described above, Brookfield has stakes in multiple publicly-traded fund vehicles, which are used to periodically enhance its cost-of-capital position (e.g., when certain elements of its asset portfolio are in demand, it might place them place in the public market via a partial IPO or spin-off so as to be able to raise low-cost equity capital; if such entities trade at too deep a discount, Brookfield might reverse the position and take that entity private again).

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

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